

warehouses immediately shrink, as the amount of just-in-case inventory [called work-in-progress (WIP) inventory] is reduced dramatically. This almost magical shrinkage of WIP is where lean manufacturing gets its name. It's as if the whole supply chain suddenly went on a diet.

Startups struggle to see their work-in-progress inventory. When factories have excess WIP, it literally piles up on the factory floor. Because most startup work is intangible, it's not nearly as visible. For example, all the work that goes into designing the minimum viable product is—until the moment that product is shipped—just WIP inventory. Incomplete designs, not-yet-validated assumptions, and most business plans are WIP. Almost every Lean Startup technique we've discussed so far works its magic in two ways: by converting push methods to pull and reducing batch size. Both have the net effect of reducing WIP.

In manufacturing, pull is used primarily to make sure production processes are tuned to levels of customer demand. Without this, factories can wind up making much more—or much less—of a product than customers really want. However, applying this approach to developing new products is not straightforward. Some people misunderstand the Lean Startup model as simply applying pull to customer wants. This assumes that customers could tell us what products to build and that this would act as the pull signal to product development to make them.⁹

As was mentioned earlier, this is not the way the Lean Startup model works, because customers often don't know what they want. Our goal in building products is to be able to run experiments that will help us learn how to build a sustainable business. Thus, the right way to think about the product development process in a Lean Startup is that it is responding to pull requests in the form of experiments that need to be run.

As soon as we formulate a hypothesis that we want to test, the product development team should be engineered to design and run this experiment as quickly as possible, using the smallest batch size that will get the job done. Remember that although we write the